



NITI Aayog

Strategy for

New India@75

STRATEGY FOR NEW INDIA @ 75

MODULE - 16

16

PORTS, SHIPPING AND INLAND WATERWAYS

OBJECTIVES



- Double the share of freight transported by coastal shipping and inland waterways from 6% in 2016-17 to 12% by 2025.
- Increase the port handling capacity to 2,500 million metric tonnes by 2022-23.
- Reduce the turnaround time at major ports from about 3.44 days to 1-2 days by 2022-23.
- Augment the capacity of inland water transport by increasing the least available depth.

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PORTS, SHIPPING AND INLAND WATERWAYS

PRESENT SCENARIO

1

PORTS & SHIPPING

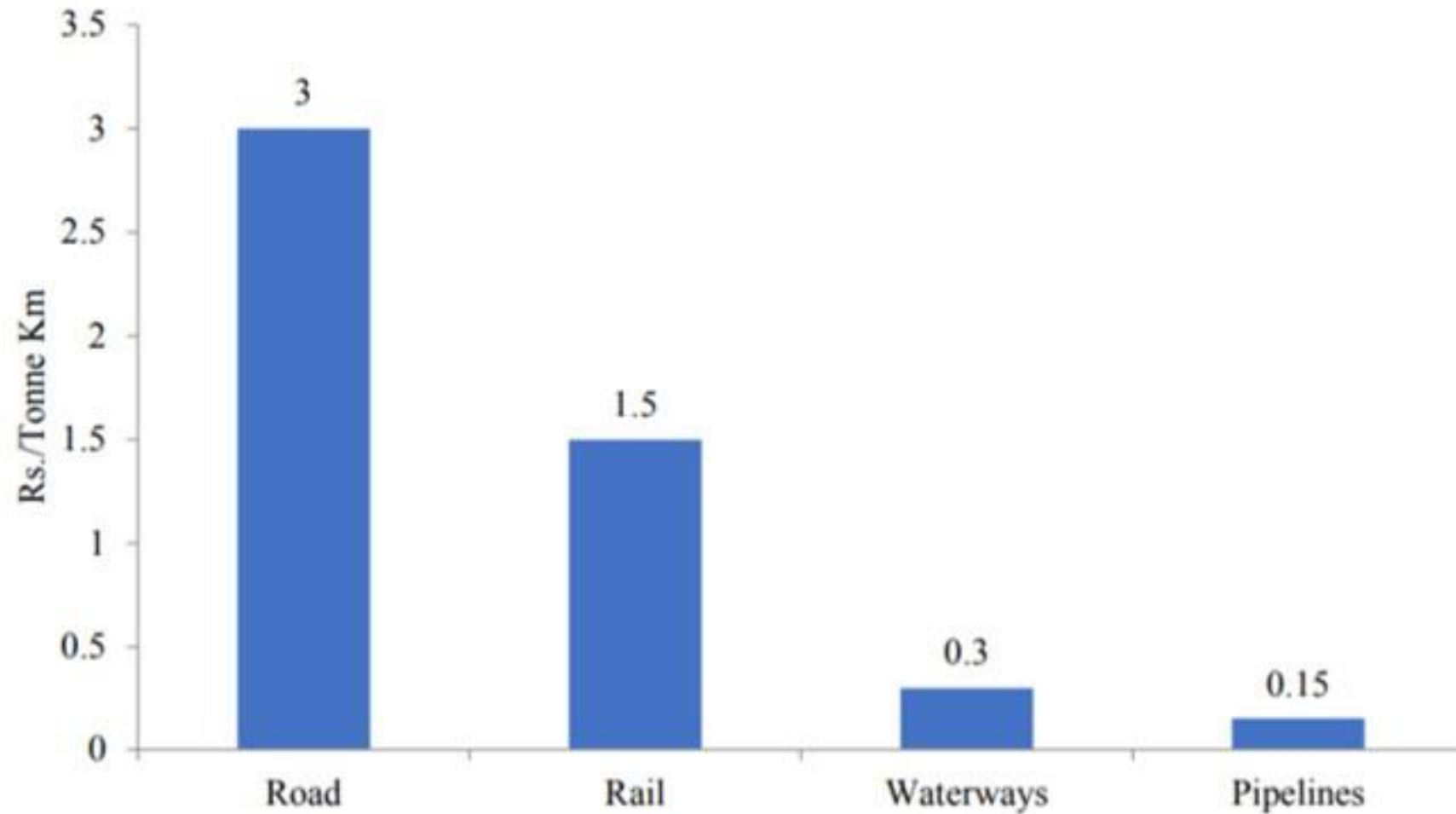


- Around 90% of India's external trade by volume and 70% by value are handled by ports.
- Twelve major ports and 205 non-major ports operate on India's coast.
- Roads and railways continue to be the dominant mode for cargo movement.
- Despite being the most cost-effective and efficient mode, water transport accounted for just 6% of freight transport in India in 2016-17.



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Operating cost comparison in transporting cargo through various modes



Source: Sagarmala National Perspective Plan, 2016

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PRESENT SCENARIO

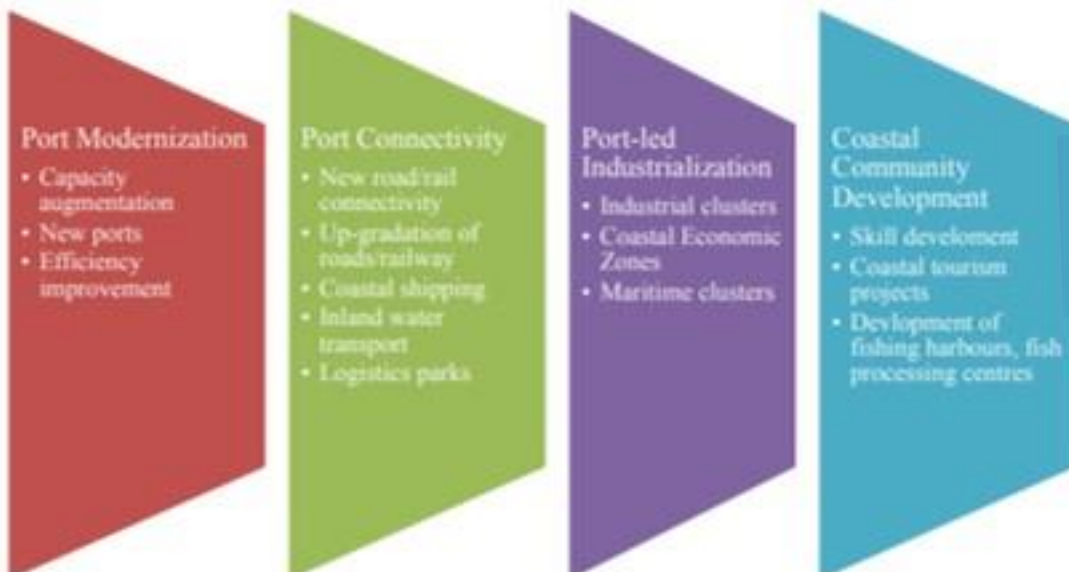
1

PORTS & SHIPPING

WHAT ABOUT SAGARMALA PROGRAMME?

Pillars of the *Sagarmala* programme

Port-led Development



Source: Ministry of Shipping

- Sagarmala focuses on modernizing and developing ports, enhancing port connectivity, supporting coastal communities and stimulating port-linked industrialization.
- It aims to reduce the logistics costs for foreign and domestic trade, with overall cost savings of Rs. 35,000 crore to Rs. 40,000 crore annually by 2025.
- It aims to double the share of water transportation in the modal mix.

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PORTS, SHIPPING AND INLAND WATERWAYS

PRESENT SCENARIO

1

PORTS & SHIPPING

WHAT ABOUT THE FUNDING MECHANISM
FOR SAGARMALA?



The Govt. has set up the Sagarmala Development Company Limited (SDCL) to provide funding support to Special Purpose Vehicles set up to implement projects and the Indian Port Rail Corporation Limited (IPRCL) to undertake port-rail connectivity projects under Sagarmala.

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PORTS, SHIPPING AND
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PRESENT SCENARIO

2

INLAND WATERWAYS



**Inland Waterways
Authority of India**



- Inland Water Transport carries less than 2% of India's organized freight traffic and negligible passenger traffic.
- Inland Waterways Authority of India is mandated to develop and maintain infrastructure for fairway, navigational aids and terminals.
- It also provides an enabling environment for private investment in cargo vessels and operational services.

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PORTS, SHIPPING AND
INLAND WATERWAYS

PRESENT SCENARIO

2

INLAND WATERWAYS

A BRIEF ON NATIONAL WATERWAYS IN INDIA ...

- Until 2015, there were only five National Waterways in the country.
- In April 2016, 106 more waterways spread over 24 States were declared as National Waterways.
- The Ministry is augmenting the capacity of **NW-I under the Jal Marg Vikas project**.
- The project will enable the movement of larger vessels of 1,500-2,000 tonnes on inland waterways.

- The Govt. is also proposing to fund NWs through the Central Road Fund.
- The **Ministry of Finance** has amended the Central Road Fund Act, 2000, as part of the Finance Bill, 2018 to include a list of projects and infrastructure sub-sectors, including inland waterways, for which the CRF could be used.
- The CRF is renamed as the **Central Road and Infrastructure Fund**.

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CONSTRAINTS

1

MODAL MIX

- **Roads** will continue to be the dominant mode of transporting cargo at 54%, followed by **rail** at 33%.
- Transportation of cargo through waterways (shipping and inland water) accounts for a **minuscule modal share of 6%**, despite being the most cost-effective and efficient mode.



2

DRAUGHT LEVELS

- Most Indian container handling ports **lack the capability** to handle **large container vessels** due to **inadequate depth**.
- A minimum draft depth of 18 metres is needed to enable mother vessels to dock at ports.
- With international trade leaning towards economically viable mother vessels, **shallow draft adversely affects a port's potential** to become a hub port.

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PORTS, SHIPPING AND
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CONSTRAINTS

3

CONNECTIVITY TO PORTS

Weak hinterland connectivity between production centres and the gateway ports often leads to higher costs and delays because of sub-optimal mode choices.



4

TRANSSHIPMENT PORT

- A large percentage of containers in India are transshipped through other ports.
- For example, Colombo, Singapore, Dubai, due to the absence of a transshipment port in the country.
- This led to additional costs and delays due to the feeder voyage from India to the hub port.





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CONSTRAINTS

5

TECHNICAL ISSUES IN
INLAND WATERWAYS

- The Indian rivers are known for varying and limited depths due to the meandering of alluvial rivers.
- There is also excessive siltation, lack of cargo earmarked for IWT, non-mechanized navigation lock systems, insufficient unloading facility at terminals.

These all hinder the use of IWT by the shippers.

6

REGULATORY ISSUES

- States' Ferries Acts govern cross ferry movement and this may present a barrier to inland navigation.
- The regulations may not take into account safety considerations.





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WAY FORWARD

1

OPEN UP INDIA'S DREDGING MARKET

Dredging Corporation
of India

Major ports, except Kolkata Port achieved a draft of 14 metres or more. Some major ports are striving to achieve deeper drafts up to 18 metres.

- The Govt. needs to open up the dredging market to attract more players, particularly **international players**, in **dredging activities** to increase and maintain draft depth at ports to attract large vessels.
- At present, the Dredging Corporation of India (DCI) and limited set of private vendors serve the Indian dredging market, **limiting the competition**.
- Foreign players will be attracted, if the Govt. takes measures such as withdrawing the right-of-first refusal given to Indian vendors.

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PORTS, SHIPPING AND INLAND WATERWAYS

WAY FORWARD

2

IMPLEMENTATION OF SAGARMALA

- Expedite completion of various projects under Sagarmala, especially those aimed at improving port connectivity, setting up **Coastal Economic Zones** and establishing new ports.
- Set up of **single window facility for cargo clearance** and put in place fully mechanized cargo handling infrastructure.

3

IMPROVE THE BUSINESS ENVIRONMENT

- Enhance technology use in ports, wherever feasible.
- Draw lessons from successful global ports such as Rotterdam, Singapore etc. to improve efficiency.



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PORTS, SHIPPING AND INLAND WATERWAYS

WAY FORWARD

4

TRANSHIPMENT PORTS AND SHIPPING LINES



- Transshipment via Cochin ICCT, the upcoming Vizhinjam Port and the Enayam Port at Colachel will create a transshipment cluster similar to the clusters in Malaysian and Singaporean ports.
- The cluster should be completed within the targeted timelines and a business plan should be drawn to make it a success.
- The new Merchant Shipping Bill to replace the Merchant Shipping Act, 1958, needs to be enacted to promote the Ease of Doing Business, transparency and effective delivery of services.



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WAY FORWARD

5

ENHANCE LAST MILE
CONNECTIVITY

- IWT should be integrated to multimodal/ intermodal connectivity.
- Inland terminals with proper road and/or rail connectivity and seamless transfer of goods from one mode to the other are important for an efficient logistics supply chain.



6

FACILITATE ACCESS TO CAPITAL FOR
INLAND VESSELS

- Financing for inland vessels could be made part of priority sector lending by banks.
- Categorize inland vessels as infrastructure equipment and this will further ease access to capital issues for a sector, where capital investments and operational costs are high.
- Viability gap funding needs to be given at least for 10 years until the infrastructure is fully developed.

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

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0866 244 44 72

98499 42299

94415 27588